Practice workbook · Competition between firms: benefits and drawbacks

Rivalry between firms and its effects on firms, consumers and the economy: price, choice, quality, innovation, efficiency; innovation as a term.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-10

1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.

4 Figure 4 shows the Production Possibility Curve (PPC) for an economy making capital goods and consumer goods.

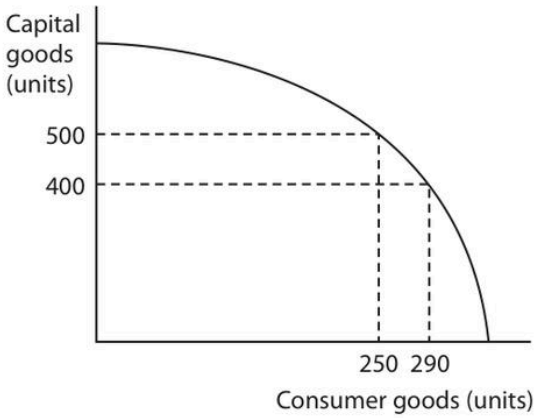


Figure 4

(a) When the current level of output is 250 units of consumer goods, calculate the **opportunity cost** of producing an additional 40 units of consumer goods. You are advised to show your working. **(2)**

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1. Question 4 · part c · 12 marks

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Worked-example retry · Attempt part c only.

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A tagine is a type of cooking pot which is used to make meals throughout Morocco. Almost every home in Morocco has one. They have also become an increasingly popular purchase for tourists who want to take home a souvenir of their travels. Producers can sell tagines in markets all over Morocco. However, as demand has increased, many have chosen to sell in the areas visited by tourists, such as Marrakesh.

(b) With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined.

(6)

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1. Question 4 · part c · 12 marks

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Worked-example retry · Attempt part c only.

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1. Question 4 · part c · 12 marks

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Worked-example retry · Attempt part c only.

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Dahab is a seaside town in Egypt. It is a popular destination for visitors from around the world as well as other parts of Egypt. Some visitors return many times in order to enjoy the relaxing atmosphere, beach-side restaurants and water sports.

There are a large number of restaurants competing for customers. Some specialise in certain types of food. Others offer discounts for regular visits or provide live entertainment.

(c) With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab.

(12)

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1. Question 4 · part c · 12 marks

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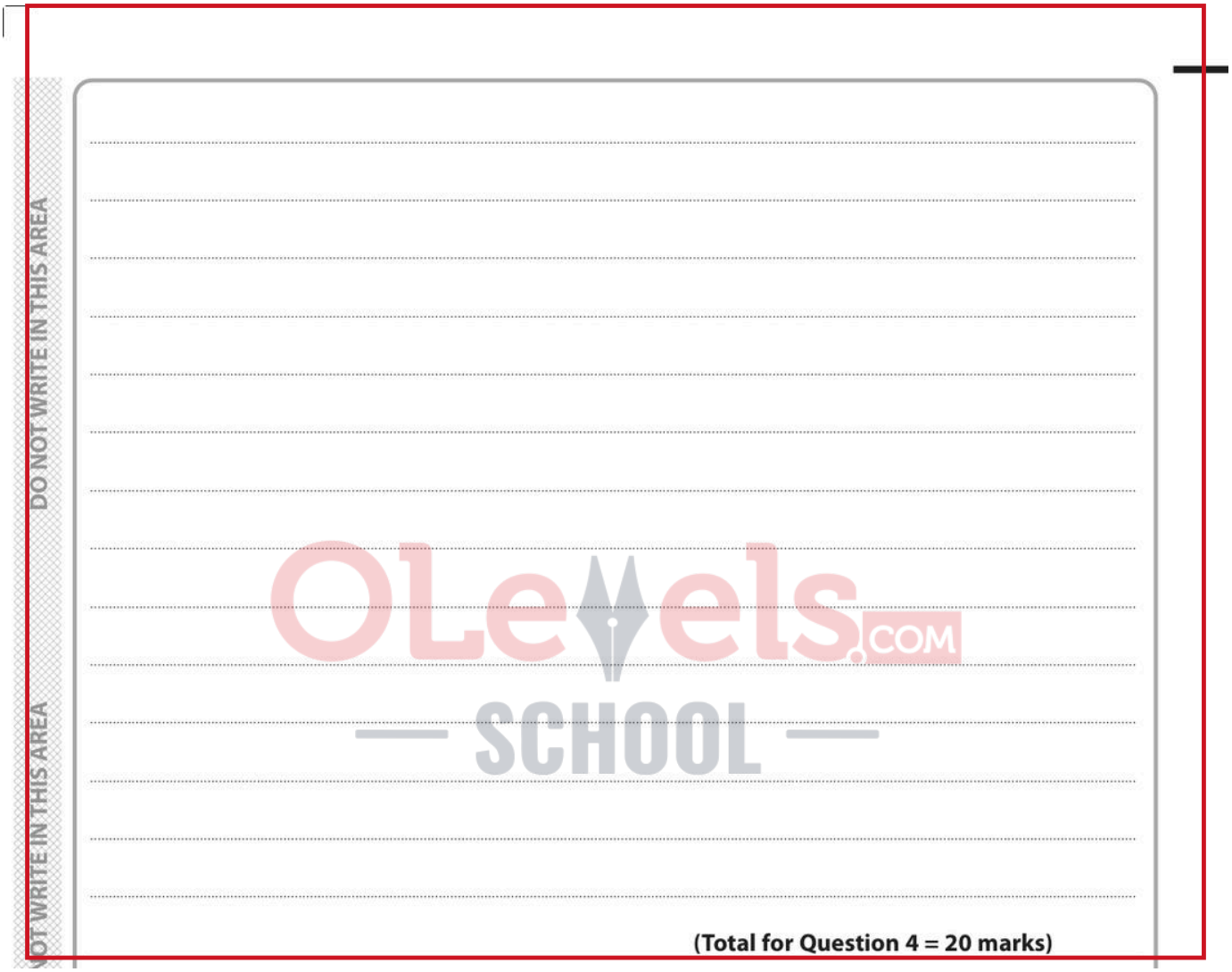
Worked-example retry · Attempt part c only.



1. Question 4 · part c · 12 marks

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Worked-example retry · Attempt part c only.



1. Question 4 · part c · 12 marks · Working and answer

Working and answer

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

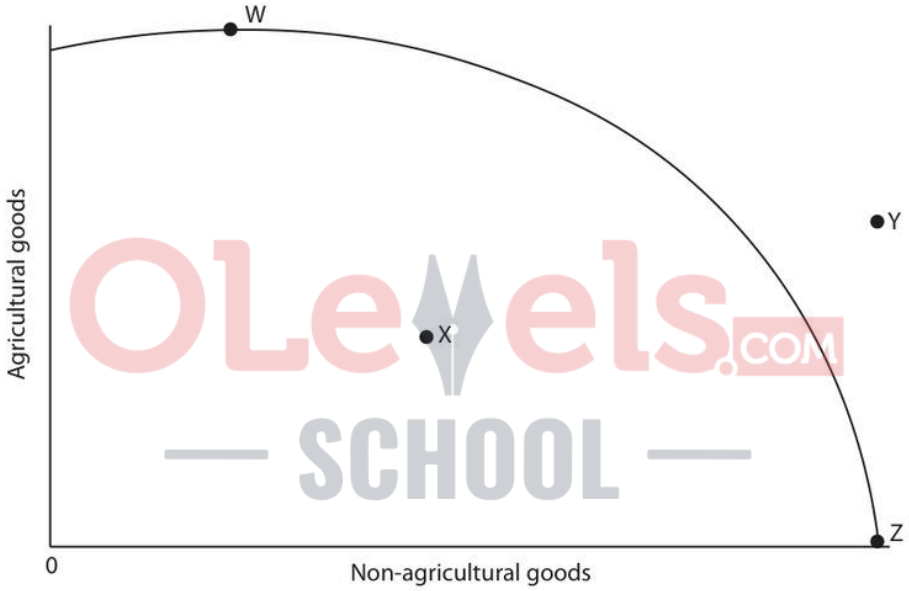


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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P 6 0 7 4 9 A 0 7 2 0

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Turn over ▶

2. Question 2 · part d · 1 mark · Working and answer

Working and answer

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3. Question 2 · part f · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

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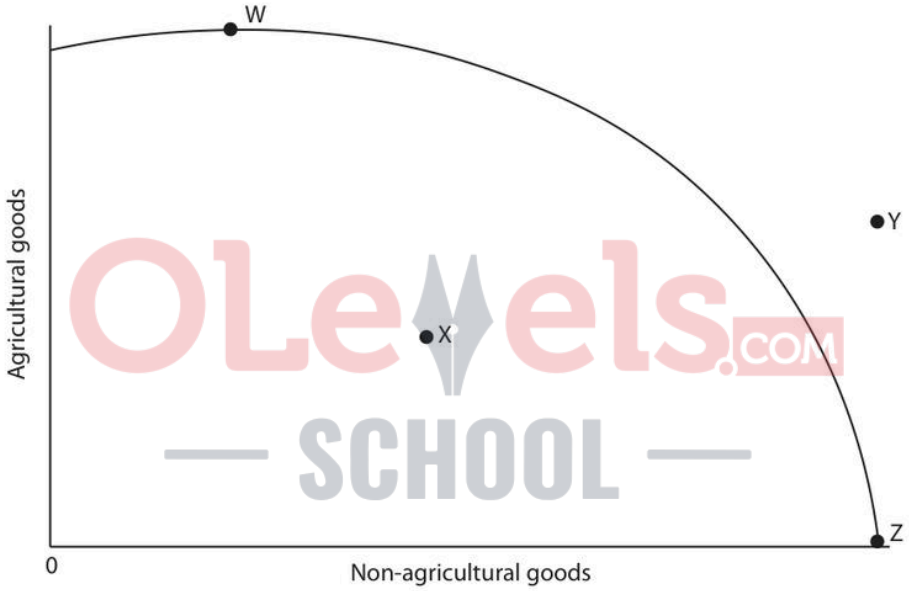


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Further practice · Attempt part f only.

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3. Question 2 · part f · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

Beating the congestion in Dhaka

Nearly 17 million people live in Dhaka, the capital of Bangladesh. The majority of people live in the city centre and traffic congestion is a problem. However, there are many auto rickshaws (a small, three-wheeled vehicle, driven by a motorcycle engine) competing in the city centre to take passengers to their destinations. Fares tend to be cheaper in the city centre than they are outside the city centre and are usually agreed between passengers and drivers.

Dhaka has a large number of auto rickshaws competing for fares.

(f) Apart from price, describe **one** advantage for passengers of this competition.

(2)

(g) With reference to the information given in **'Beating the congestion in Dhaka'**, explain **one** reason why prices for journeys using an auto rickshaw might be higher outside the city centre.

(3)

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3. Question 2 · part f · 2 marks · Working and answer

Working and answer

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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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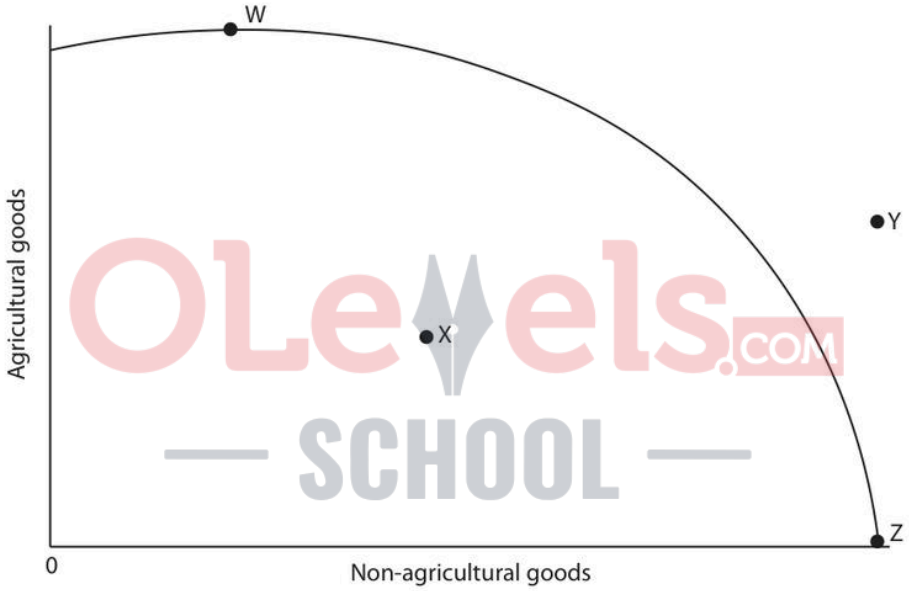


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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(1)

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Further practice · Attempt part g only.

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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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A lack of space in many busy cities means parking is an increasing problem. Japan has developed the first Automated Parking Systems (APS). These are car parks where the cars are automatically stacked. The driver takes the car to the entrance, then technology takes over, placing each car on racks, one above the other. This allows many cars to be parked in a very small area. Not only do they offer a more practical use of space than traditional multi-storey car parks, but they cost less to build. The drivers benefit from cheaper parking fees and they save time.

(Source: adapted from http://japantravelmate.com/cool-japan/things-see-japans-automated-rotary-parking-systems)



Figure 4

(Source: © pio3/Shutterstock)

(h) With reference to the data above and your knowledge of economics, assess the extent to which changes in technology may reduce the shortage of car parking spaces in city centres.

(9)

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4. Question 2 · part g · 3 marks · Working and answer

Working and answer

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5. Question 2 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

(c) State **one** disadvantage to firms of increased competition.

(1)

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5. Question 2 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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5. Question 2 · part c · 1 mark · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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6. Question 1 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 2 · part d · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

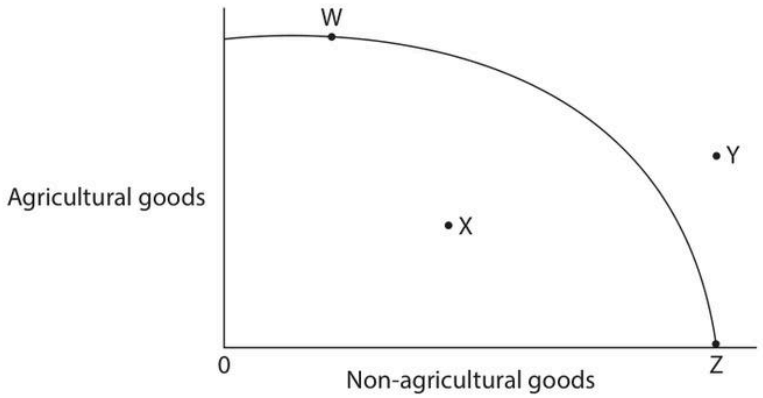


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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7. Question 2 · part d · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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7. Question 2 · part d · 2 marks · Working and answer

Working and answer

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